JÖNKÖPING UNIVERSITY

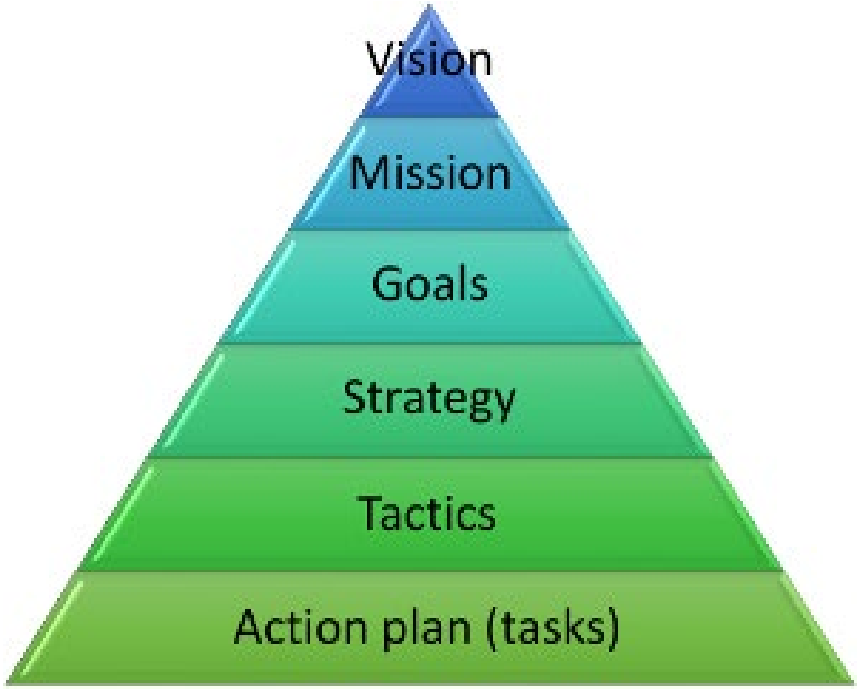
IT Service Management (ITSM)

Tools and general practices 2025

General Management Practices

STRATEGIC DECISIONS

Vision to action



A vision states what the organization aspires to become in the future. A mission reflects the organization's past and present by stating why the organization exists and what role it plays in society. Goals are the more specific aims that organizations pursue to reach their visions and missions.

Strategy Management

strategy

/ˈstratɪdʒi/

noun

1. a plan of action designed to achieve a long-term or overall aim.
   "time to develop a coherent economic strategy"

   Liknande: master plan | grand design | game plan | plan of action | plan

2. the art of planning and directing overall military operations and movements in a war or battle.
   "he was a genius when it came to military strategy"

   Liknande: the art of war | military science | military tactics | generalship

Strategy Management

The purpose of the strategy management practice is to ***formulate the goals of the organization and adopt the courses of action and allocation of resources necessary for achieving those goals****. Strategy management establishes the organization's direction, focuses effort, defines or clarifies the organization's priorities, and provides consistency or guidance in response to the environment."*

Agutter (2019)

Strategy Management

Strategy provides the overall direction for theorganisation and is normally set at the senior management and governing body level. Strategy as a practice is evolving to become more fluid and less fixed; changes in technology, for example, can quickly invalidate a five-year plan.

Agutter (2019)

The objectives of strategy management are to:

- Analyse the organisation's environment to identify opportunities;
- Identify constraints that could affect business outcomes;
- Decide and agree the organisation's perspective and direction, including vision, mission and principles;
- Establish the organisation's perspective and position with regard to customers and competitors;
- Ensure the strategy is translated into tactical and operational plans; and
- Manage changes to the strategy and related documents.

Agutter 2019

PESTEL: A tool supporting strategy and demand

PESTEL (or PESTLE), is a framework used to assess macro-environmental factors.

PESTEL is often used within business analysis, and **assesses the environment an organisation,** product or service is operating in and the impact it can have.

- Political
- Economic
- Social
- Technological
- Environmenatal
- Legal

PESTLE	
Political	How might **political or government actions affect** an organisation, product or service? For example, consider the impact of legislation on organisations like Uber and Airbnb.
Economic	Will **national or global economic performance** affect a product, service or organisation? For example, a recession might mean that consumers are less willing to purchase some types of service.
Social	What is the social environment of the market? Do cultural trends have any impact? For example, seasonal events like religious and public holidays.
Technological	Are there any innovations in technology that could have an impact? Many new technologies such as artificial intelligence, robotic process automation, etc. have yet to reach their full potential
Environmental	These factors can include climate, weather, geographical location, etc. For example, a mild winter might leave a clothes retailer with large numbers of unsold coats.
Legal	What legislation and regulations affect an organisation, product or service? What policies does an organisation have internally? This can include areas like health and safety legislation

When is a service good enough?

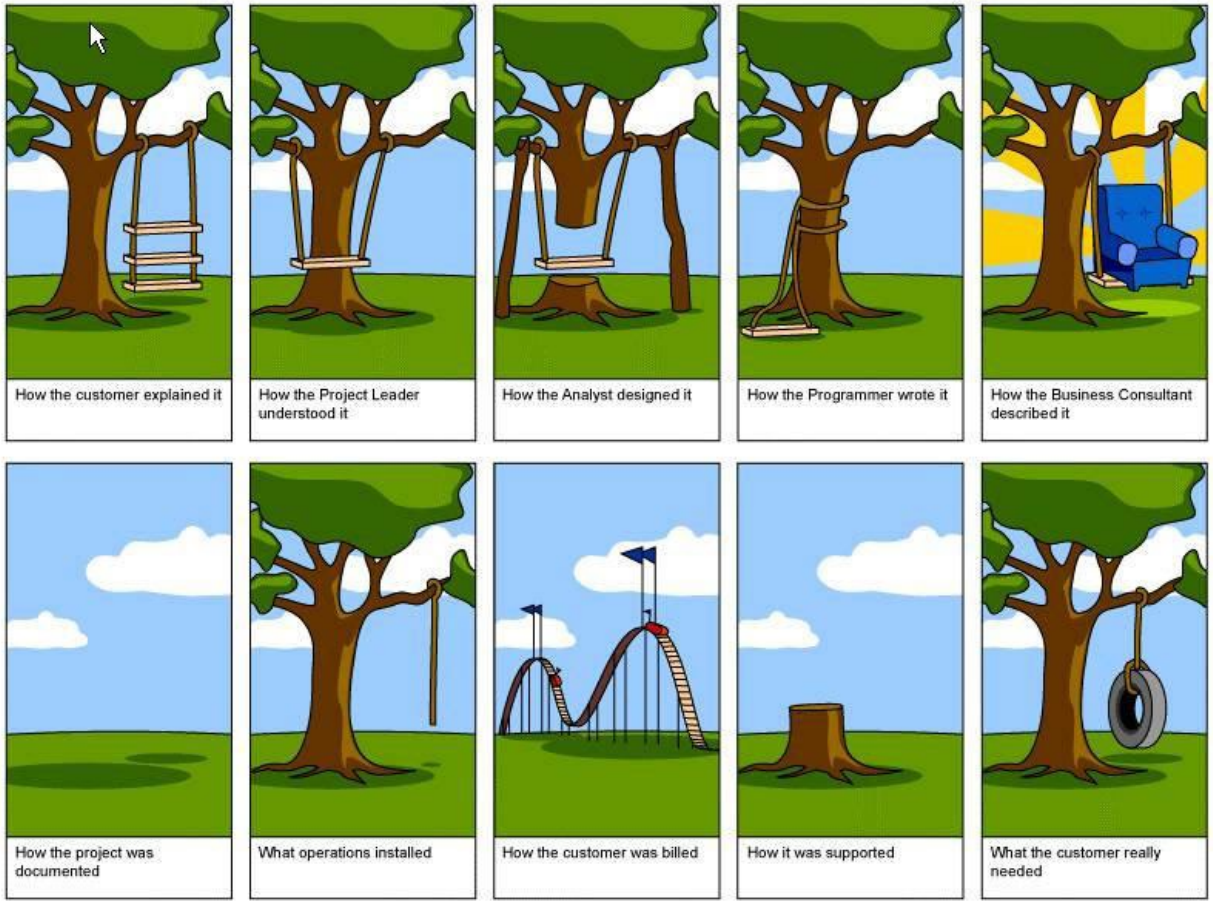
- **Quality** of a service is its ability to satisfy, and preferably exceed *customer* needs and expectations.

  (Bergman & Klefsjö 2002)

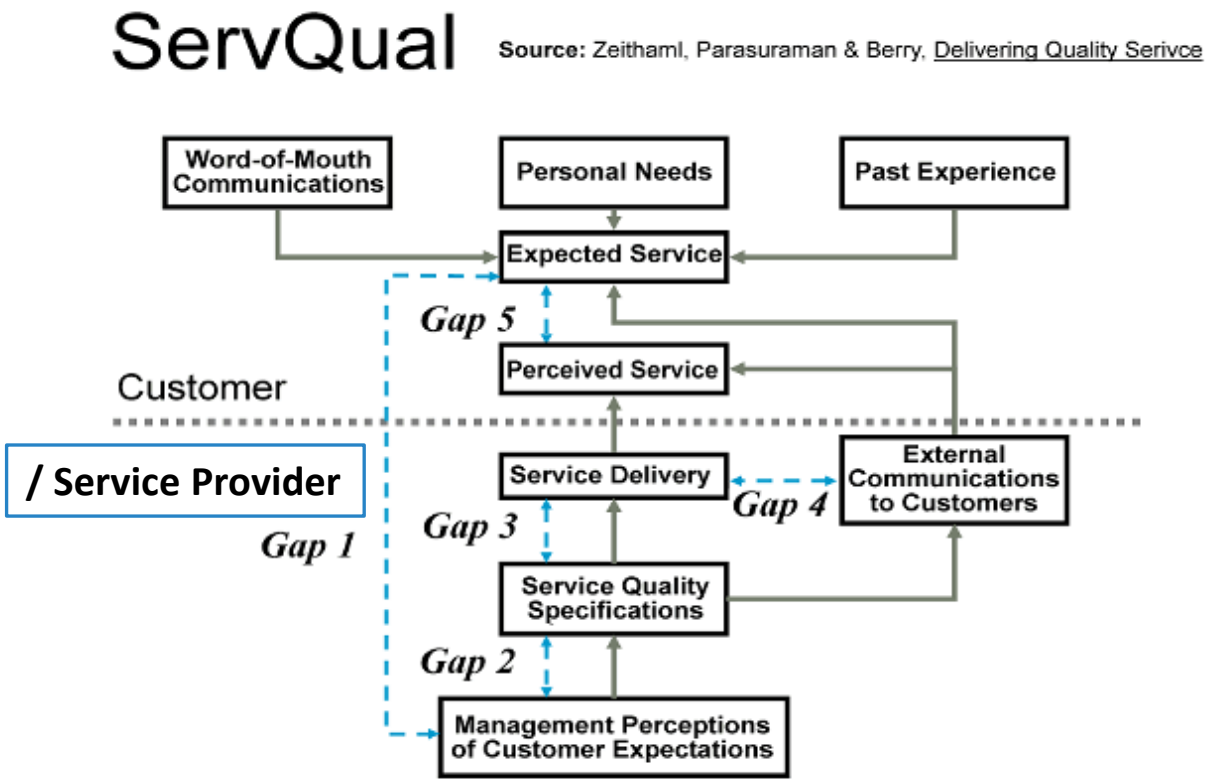
- *Customer* is the person or persons that an organization exists for, its those who the organization wants to enable business value for.

  (Bergman & Klefsjö 2002)

Quality, effectiveness & efficency



ServQual: a tool to identify gaps



Tool: Business Model Canvas

A business model canvas (BMC) is a tool to structure the value offering which later can be put in a service portfolio

Business Model Canvas (BMC)

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KEY PARTNERS

<< list your partners here>>

KEY ACTIVITIES

<< describe your key activities here>>

KEY RESOURCES

<< list the key resources available to you here>>

VALUE PROPOSITIONS

<< insert your value proposition here>>

CUSTOMER RELATIONSHIPS

<describe how you plan to establish and manage the relationship between the customer and your brand here>>

CHANNELS

<< describe 1) how you plan to acquire customers, 2) how you plan to deliver your value proposition to them and 3) how you plan to communicate with your customers >>

CUSTOMER SEGMENTS

<< describe your target customer segment here>>

COST STRUCTURE

<< Describe your cost structure here>>

REVENUE STREAMS

<< describe your revenue streams here>>

BMC for

INNOVATIONLAB
INFORMATION TECHNOLOGY DESIGN & RESEARCH

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Key partners

- Practitioners (private & public sector)
- Students (different subjects)
- Researchers (different subjects)

Key activities

- Practice inspired research
- Mutual shaping
- Design/Build
- Theory-ingrained innovations
- Reflection & Learning

Key resources

- Research methods
- Intellectual Capabilities
- Retailing Lab

Value proposition

- arena for service Innovations
- Solutions for practitioners problems
- Contribute to research results
- Physical Lab
- Access to partner network
- Access to scientific Methods & knowledge

Customer relationships

- Dedicated personal assistance
- Co-creation
- Self-service

Channels

- Marketing activities
- Store-front (our lab)

"Customer" segments

- Segment 1: Retailing
- Segment 2: IT Service Management

Cost structu

- Variable costs
- Fixed costs
- Systems developers
- Premises/ equipment

Revenue streams

- Service Package (usage fee)
- Research proposals
- UB grants

Strategic practices in ITSM

- Demand Management
- Service Portfolio Management
- Financial Management for IT Services
- Business Relationships Management

Demand Management

- The purpose of demand management is to understand, anticipate and influence customer demand for services and to work with capacity management to ensure the service provider has capacity to meet this demand

- Unmanaged demand is a source of both cost and risk to Service Providers

Demand Management

- Patterns of Business Activity (PBA)
  - Represent the way that users in different user profiles access a service over the course of a given time period
  - Can be categorized: volume, frequence etc

- User profiles
  - Can be associated with a PBA
  - Characterize different typical groups of users for a given service

The Greenhorn

JOHN

Profile

- Probably the single biggest segment of mobile users.
- Want simple: turn on their mobile, dial a number and talk to their intended party.
- Don't care about anything other than the mobile being able to be used as a phone, and possibly contacts.

Scenario

I didn't get my first phone until 2001. My daughter bought it for me. I didn't feel it was necessary but since then, I have it with my all the time and use it more than my home phone.

The Casual User

EMILY

Profile

- Take advantage of most phones features, but not all.
- Use the phone to make calls, use the contacts, send text messages, and take pictures.
- Their mobile is always with them.

Scenario

My phone has to look cool. I personalize it with decals, charms, and ring tones. I talk on it everywhere, so my phone style is everything. Of course, it has to work too. I usually talk on the phone, but recently started taking pictures and recording video. My phone is my favorite accessory.

The Texter

AKIKO

Profile

- Texting is far more popular than calling.
- Will send and receive thousands of text messages per month.
- Rarely use their phones for calling.
- Want a clean texting interface with the fastest possible input.

Scenario

I prefer texting than calling because it's more fun and creative. My friends and I probably text each other around 40 times a day. We'll even text to order food. It's far more interesting and less intrusive. I don't have to worry about disturbing people on the train with my talking. I love it.

The Business User

STEPHAN

Profile

- Wants a phone that is simple, but functions as an integrated smart device.
- Want to read email and call back the sender with the least amount of effort.
- Needs "Popular" mail server integration, including Blackberry and Exchange.

Scenario

My mobi is my life. Without it my business would suffer. I take conference calls while driving down the M25. If someone text me, I need to ring them without taking my eyes off the road. And since I use my mobi everywhere, it needs to be durable. The last thing I need is for it to break after one drop.

The Power User

ROBERTO

Profile

- Will use almost all of the built-in functionality.
- Will also extend their phones functionality with additional software.
- Will flip through every menu options and changing settings.

Scenario

I'm addicted to new toys. I get the latest gadgets as soon as they arrive on the market. I upgrade my phone every 6 months. I guess you can say this is almost a sport for me. Or an addiction? I just love to explore the latest and how it can make life fun.

The Hacker

RICKY

Profile

- Care more about customization.
- Want to make changes to every aspect of the phone.
- Belong to mailing lists and forums about hacking the phone.
- Contribute to the open source community.

Scenario

As soon as I found out about an open source phone, I jumped on it. I created two apps for the phone and am working on the texting solution. I probably should spend more time at my day job, but this is far more fun. Of course, I use my phone for calls and texting too.

Financial Management Practice

"The purpose of the service financial management practice is to support the organization's strategies and plans for service management by ensuring that the organization's financial resources and investments are being used effectively."

The practice is responsible for budgeting:

- Budgeting/costing: focuses on predicting and controlling income and expenditure within the organisation.
- Accounting: accounts for how money is being spent.
- Charging: invoices service consumers (where relevant).

Financial Mgmt./Identify and Allocate costs

- ITIL process (V3) called = Financial management

A strategic tool that could be applied on all phases of a service life cycle.

- understanding and managing costs
- generating data useful for decision support (metrics and KPI)

The process shall provide answers to questions such as:

- How much does an IT service cost in total?
- How much does a higher availability of the service cost?
- How much does more storage space cost?
- How much does higher response times cost?

Financial Mgmt./Identify and Allocate costs

Types of costs:

- Direct costs
  - “Visible” costs: hardware, licenses, training, operations …
- Overhead costs
  - informal support, Inaccessible IT services etc…
- Total costs (Total Cost of Ownership (TCO)
  - Total cost of purchase, maintenance, installation, downtime, incident management, problem management, insurance, administration, upgrades, maintenance and use of an IT service.

Activities

- Budgeting**:** Planning how money will be spent by a Service Provider
- Accounting: Tracking how money is actually spent by a Service Provider
- Charging: Securing payment from customers for services provided

Service portfolio Management

ITIL V3 “Service Portfolio Management ensures that the service provider has the right mix of services to meet required business outcomes at an appropriate level of investment.” (OGC, 2011)

ITIL4 “The purpose of the portfolio management practice is to ensure that the organization has the right mix of programmes, projects, products and services to execute the organization’s strategy within its funding and resource constraints.” (Agutter 2019)

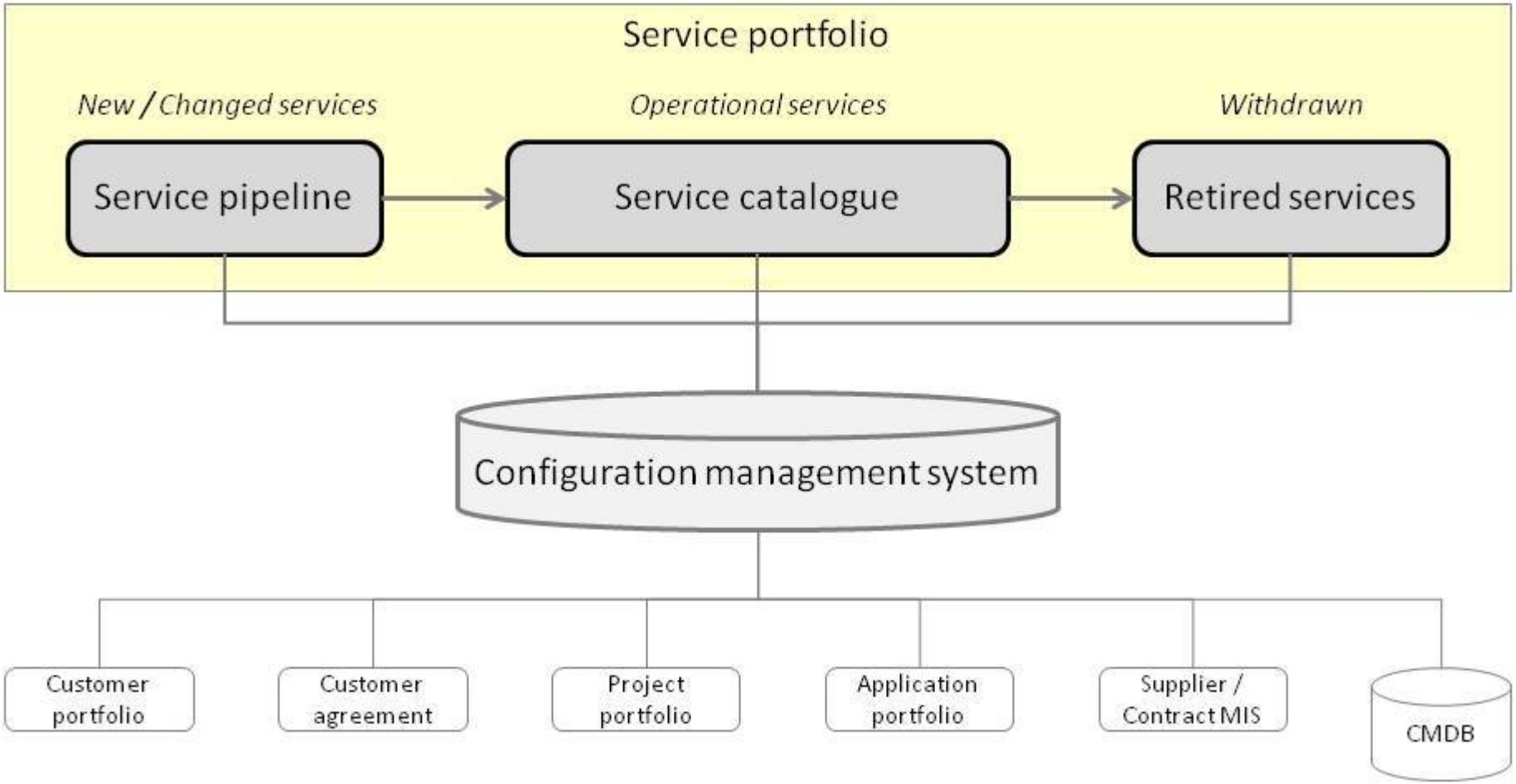
Service Portfolio Management

- The objective of the service portfolio may be described as follows:
  - To enable individuals within and outside the business to understand what kind of services that are available
  - Defining products and services and linking them to agreed outcomes
  - Evaluating and prioritizing product, service, project and change proposals

The service portfolio is a key component to success – it's important to have the right services to be attractive on the market (utility).

The portfolio consists of three parts (ITIL V3):

- Service pipeline
  - Consists of ideas/analyses/prototypes for future services. Services to be deployed/released
- Service catalogue
  - Consists of the services that is included in the current service offerings to customers.
- Retired services
  - Consist of the services that is not sold anymore (but can be in the future)


Service portfolio
New / Changed services
Operational services
Withdrawn
Service pipeline
Service catalogue
Retired services
Configuration management system
Customer portfolio
Customer agreement
Project portfolio
Application portfolio
Supplier / Contract MIS
CMDB

Business Relationship Management

- Is about how the organization manages relationships.
- The purpose of the business relationship management process is two-fold:
  - 1) To establish and maintain a business relationship between the service provider and the customer based on understanding the customer and their business needs and
  - 2) To identify customer needs and ensure that the service provider is able to meet these needs as
- Relationship management needs to include all relevant stakeholders.

NOTE! Many organisations focus on consumers and customers, but suppliers, partners, employees, etc. are all significant.

Business Relationship Management

- Relations **can** be divided into different levels of maturity
  - Order receiver (lowest) Solely business-driven relationship
  - Advisory: needs-based, consultant
  - Partnership: there is a tight connection between the customer and the supplier.
  - **Integration and service exchange (c.f. Co-Creation in S-D logic)**
- **C**ustomer responsible is an important role and is responsible for:
  - Implementing customer surveys (service desk supports), Translate business requirements for IT services ,Identify new needs, Negotiate and sign a service level agreement (SLA) ,Visibility of costs, Contact node of the customer.